AI

21-year-old MIT dropouts raise $32M at $300M valuation led by Insight

Tage Kene-Okafor — 6:59 AM PDT · July 22, 2025

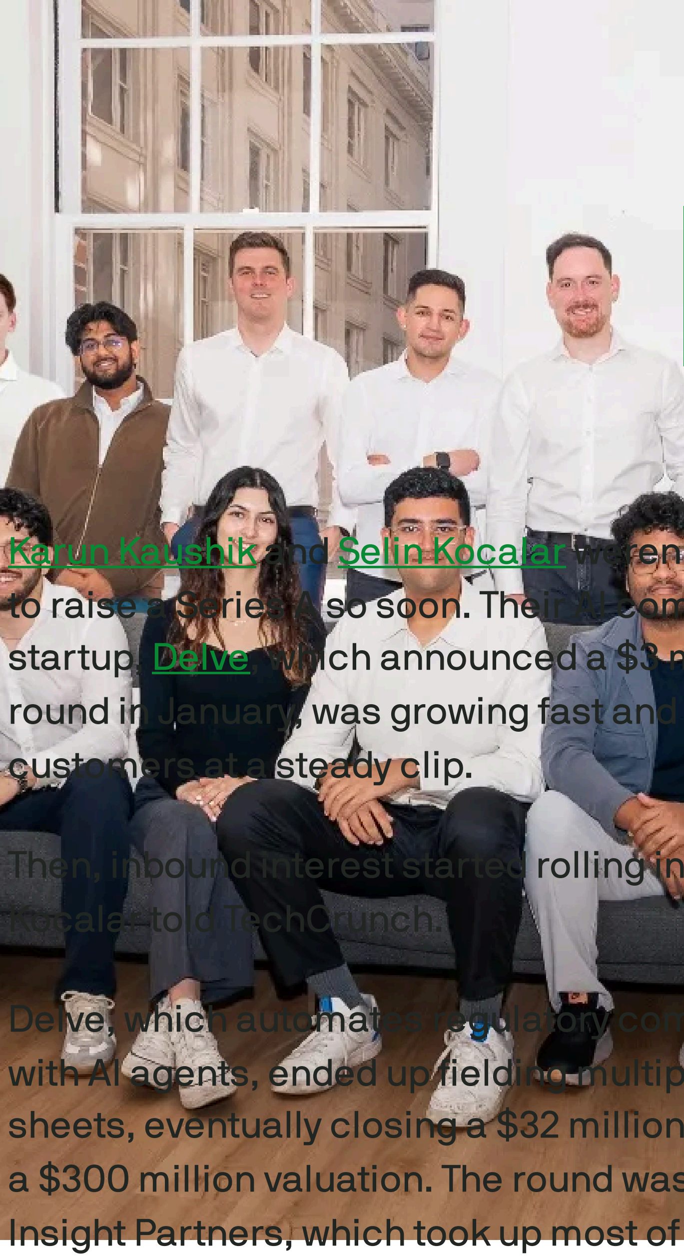

IMAGE CREDITS: DELVE

Karun Kaushik and Selin Kocalar weren't planning to raise a Series A so soon. Their AI compliance startup, Delve, which announced a $3 million seed round in January, was growing fast and signing customers at a steady clip.

Then, inbound interest started rolling in, COO Kocalar told TechCrunch.

Delve, which automates regulatory compliance with AI agents, ended up fielding multiple term sheets, eventually closing a $32 million Series A at a $300 million valuation. The round was led by Insight Partners, which took up most of the round, with participation from CISOs at Fortune 500 companies.

Insight has been "amazing to work with, and we felt they were the right long-term partner for us," said the COO.

Delve's new valuation represents a roughly 10x jump from its previous round. Similarly, its customer base has grown from the 100 companies it reported back in January to over 500, many of them fast-growing AI startups like recently minted AI unicorn Lovable, Bland, and Wispr Flow.

And while the 2-year-old company, made up of AI researchers from MIT, Stanford, and Berkeley, has seemingly struck gold by using AI to eliminate

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hundreds of hours of manual processes, its story began much differently.

Kaushik and Kocalar met as classmates during their freshman year at MIT. Both had deep interests in AI and health tech. Kaushik had already scaled a COVID diagnostic system to thousands of users during the pandemic.

In 2023, they began working on an AI-powered medical scribe to help doctors handle patient documentation. However, handling sensitive healthcare information meant they quickly encountered the costly and time-consuming world of HIPAA compliance.

Instead of continuing with the medical scribe, they started building tools to help other companies get HIPAA-compliant faster and more affordably. That pivot got the team into Y Combinator last year and helped them raise their seed round from General Catalyst, FundersClub, Soma Capital, and others.

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The founders dropped out during their sophomore year in 2023.

What started with HIPAA quickly expanded. “As our customer base grew, they started asking for support with other frameworks: SOC 2, PCI, GDPR, ISO, basically the whole alphabet soup of compliance,” Kocalar narrated.

L-R: SELIN KOCALAR (COO) AND KARUN KAUSHIK (CEO)
IMAGE CREDITS:DELVE

Compliance paperwork can be necessary in everything from launching products to closing enterprise deals. But instead of driving growth, its manual work can become a bottleneck.

“Compliance frameworks are standardized. Businesses aren’t,” says CEO Kaushik. “That mismatch is why traditional software breaks down and teams fall back to duct-taped workflows across email, Slack, and shared drives.”

Delve replaces that busywork with AI agents that run in the background (after integrating with customers’ tools) like internal team members. These agents collect evidence, write reports, update audit logs, and track configuration changes across fragmented systems, automating compliance workflows in real time.

Kocalar says compliance is just the wedge into broader back-office operations. Long-term, the AI startup wants to automate a billion hours of other work — eventually expanding into adjacent areas like cybersecurity, risk, and internal governance.

Insight Partners' interest reflects this roadmap.

"Since compliance touches every part of how a business runs, from scaling operations to closing deals to building customer trust, modernizing this function will modernize the entire organization," said Praveen Akkiraju, managing director at Insight. "That's what makes Delve's approach so important."

Still, the startup won't be without competition. Several AI companies are emerging with agents to automate business workflows. In addition, larger AI labs like OpenAI are releasing general-purpose agents capable of performing complex tasks.

That said, Kocalar says these developments are a validation, not a threat, to Delve's business. She points to the company's domain depth in contrast to more general-purpose agents.

"We're positioning ourselves to improve as AI advances and labs roll out more sophisticated agentic technologies. But what truly sets us apart is the deep, domain-specific knowledge we're building into the platform," she said. "Compliance is always shifting as new regulations emerge and existing ones evolve, with companies interpreting them in different ways. That's where Delve stands out."

Topics: AI ai compliance compliance Delve Insight Partners Y Combinator

Tage Kene-Okafor

Reporter, Africa

Tage Kene-Okafor is a reporter at TechCrunch based in Lagos, Nigeria, covering the intersection of startups and...

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IMAGE CREDITS: ANCHOR

Nigerian YC-backed startup Anchor comes out of stealth with $1M+ to scale its banking-as-a-service platform

Tage Kene-Okafor — 2:03 AM PDT · August 29, 2022

In 2015, the emergence of fintechs such as Flutterwave and Paystack changed the game for online businesses in Africa by making it easier to integrate payments into customer interfaces without building those features from the ground up or merging with tacky foreign software.

Amplify was another payment platform that launched during that period. However, it differentiated itself by committing to payments on social media platforms, which Nigerian digital bank Carbon was interested in when it acquired the startup in 2019.

At the time, the startup's co-founder and CEO, Segun Adeyemi, said that he was taking a break and would "likely start another company" later. While he worked as a Nigeria country manager for JUMO, a South African fintech that offers credit infrastructure to large mobile money operators across Africa, Adeyemi quit last year to launch Anchor, another fintech where he is also chief executive, this February. The new company is akin to Amplify in terms of infrastructural play; however, it provides financial features instead of payment ones. Adeyemi launched the fintech with Olamide Sobowale and Gbekeloluwa Olufotebi.

"We're now seeing a new development where businesses want to offer different products and financial services beyond just payments," Adeyemi told TechCrunch over a call. "We strongly believe that the way is not just by latching banking-as-a-service on a payments platform, but there has to be proper banking as a service platform built with the right infrastructure and go-to-market strategy. That's the problem we decided to solve as a team, basically the full end-to-end infrastructure for startups to be able to build, embed and launch financial services."

Banking-as-a-service (BaaS) platforms are one of the hottest segments in the global fintech space, with upstarts like Unit and Rapyd hitting unicorn valuations and older startups such as Stripe spinning off similar services. These platforms have become popular with neobanks or upstarts in different segments trying to embed financial services into their offerings because large, incumbent banks have been relatively slow to bring their services up to speed with the pace of change in the world of tech and banking. As such, banking-as-a-service platforms see an opportunity to provide more personalized services and flexibility at less cost.

Treasury Prime raises $20M to scale

The situation is no different in Africa. Despite fintech accounting for more than 60% of VC dollars last year and the proliferation of financial services, building a fintech startup is an expensive and lengthy endeavor. Per reports, it can take up to 18 months and an average of $500,000 to launch a fintech on the continent as they deal with issues ranging from licensing and compliance processes and multiple integration layers to managing third-party relationships and core banking infrastructure.

Anchor wants to "abstract away these complexities" so pure fintechs and businesses offering embedded finance can get started in five minutes, said Adeyemi in a statement. "For startups building a full-scale digital bank or providing embedded finance, we can provide compliance covering that allows them to launch quickly. So from build to embed to launch, our goal is how can we do all of that in the shortest time possible without compromising on security, compliance and scalability. That's our value proposition," he added on the call.

The seven-month-old startup provides APIs, dashboards and tools that help developers embed and build banking products such as bank accounts, funds transfers, savings products, issuing cards and offering loans.

Anchor, accepted into Y Combinator's summer batch this year as the first banking-as-a-service platform from the continent, went live with its private beta this May. Over 30 startups accessed it, including Pivo, another YC S22-backed company, Outpost Health, Dillali and Pennee. Anchor claims to be transacting several millions of dollars while growing 200% month-on-month. The startup makes revenue by charging fees and taking cuts from every billable part of the business: account issuing, money movement, savings and deposits among others.

After testing these features with a select few, Anchor is coming out of stealth with a $1 million+ pre-seed and making its platform public. Anchor plans to use this investment to attract the best talent, improve the company's tech infrastructure, invest in compliance and regulatory infrastructure and acquire customers. Investors backing the BaaS fintech include Byld Ventures, Y Combinator, Luno Expeditions, Niche Capital, Mountain Peak Capital, and angel investors such as SeamlessHR CEO Emmanuel Okeleji.

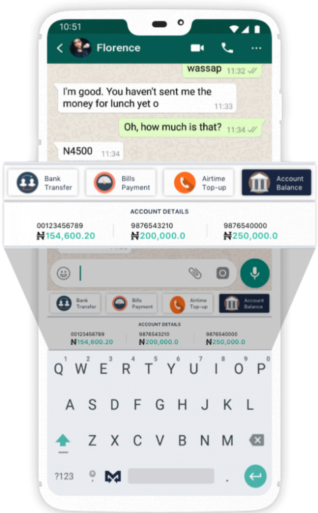
Meanwhile, Anchor isn't the only company trying to simplify how businesses offer financial services in Nigeria and Africa. Other upstarts, such as OnePipe and Bloc, have identified this same opportunity, and larger fintechs like Flutterwave are also looking to tap into that market. Adeyemi argues that the founding team's technical experience, attention to security and scalability and the speed at which businesses can go live on its platform give Anchor some edge. While the CEO built Amplify, the startup's CTO Sobowale worked at four prominent Nigerian fintechs: AppZone, TeamApt, Kuda and Carbon, and Olufotebi was a full stack developer at Booking.com, where he built financial operations software.

"There's an understanding of the space as founders and the core team building this. We have seen first-hand the painful process of closing banking partnerships, negotiating third-party contracts, and obtaining regulatory approvals. And more generally, the extensive time and effort required to launch financial products," the chief executive said.

"We optimize for speed of go to market while at the same time, we don't compromise on security and scalability. So there are a lot of use cases we've built for, that if you start from scratch, it will take you some time to get started stage."

The CEO also pointed out how Anchor has created a network effect with its service where the more platforms it onboards, the stronger its infrastructure and support system. Businesses also need to consider high switching costs when using BaaS platforms, and for a startup like Anchor, being a first mover is a sustainable competitive advantage, he added.

Nigerian fintech startup OneFi acquires payment company Amplify



Lagos based online lending startup OneFi is buying Nigerian payment solutions company Amplify for an undisclosed amount. OneFi will take over Amplify's IP, team, and client network of over 1000 merchants to which Amplify provides payment processing services, OneFi CEO Chijioke Dozie told TechCrunch. The move comes as fintech has become one of Africa's most … Continue reading

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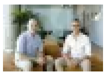
Unit raises $51M in Accel-led Series B to grow its banking-as-a-service platform



We've all heard the phrase, "Every company is a fintech." But these days, that's becoming more and more true as an increasing number of companies that are not even in the financial services space seek to add a fintech component to their offering. A group of startups poised to benefit from this shift are those … Continue reading

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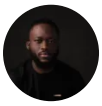

Tage Kene-Okafor

Reporter, Africa |

Tage Kene-Okafor is a reporter at TechCrunch based in Lagos, Nigeria, covering the intersection of startups and...

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Reco raises $30M to prevent sensitive data leaks

Kyle Wiggers — 8:00 AM PDT · June 3, 2022

IMAGE CREDITS: ONURDONGEL / GETTY IMAGES

Reco (also known as RecoLabs), a company using AI to map a company's data sharing, today announced that it raised $30 million in a Series A round co-led by Insight Partners and Zeev Ventures with participation from BoldStart, Angular Ventures, Jibe Ventures, CrewCapital and Cyber Club London. CEO Ofer Klein said the proceeds will to toward product development and supporting the company' go-to-market efforts.

Klein co-founded Reco with Gal Nakash and Tal Shapira in 2020. Reco is Klein's second venture after Kwik, an internet of things platform for "connected customer experiences." Nakash led research at the Office of the Prime Minister in Israel prior to joining Reco, while Shapira, who also worked at the Office of the Prime Minister, was the head of algorithms at heads-up display startup Guardian Optical Technologies.

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"The distributed workforce is getting bigger. The number of collaboration tools in use in a single organization increases daily. And each of these introduces new security risk," Klein told TechCrunch in an email interview. "Information sharing and collaboration across applications is extremely important for businesses and provides unlimited value to them, but without security context and intelligent analysis of what business data and interactions are taking place in those sharing environments, we see organizations increasing their risk."

Reco monitors data sharing inside and outside of an organization to flag potential issues when they occur. For example, if a third-party vendor's contract is expired but the vendor still has access to sensitive documents or if a file is sent to the wrong account manager, Reco can spot this and mark it for remediation, Klein claimed.

Plenty of data management compliance and governance software exists (see: Checks, DataGuard, Ketch and DataGrail), but Klein asserts that Reco's "contextual" approach sets it apart. The platform creates a "business collaboration map" that ostensibly shows where an incident occurred, which parties were involved and the details of remediation actions.

According to Klein, Reco leverages an AI engine to learn context through the metadata in the audit logs generated by collaboration, storage and email tools (e.g. Slack, Jira, Box, OneDrive, Outlook, etc.). The engine requires no manual policy setup to create a model of the relationships between an organization's employees, teams and outside vendors, Klein claimed, freeing up security teams to focus on more pressing work.

"Our closest competitors are legacy data security tools that still focus on content instead of context.

They require a high level of manual input and maintenance, create noise and organizational friction, and do not have visibility of the context behind incidents leading to inaccurate alerts," Klein said. "[With Reco,] security teams are able to share incidents and their context with relevant team members in order to receive additional feedback to remediate the incident, or even to empower the team member to take ownership of the incident and carry out remediation activities themselves."

Of course, AI makes mistakes. Unforseen biases can influence a system's predictions, causing errors. Illustrating the breadth of the problem, a 2021 survey from Fastly and ESG found that nearly half of all cybersecurity alerts from software are false positives.

For what it's worth, Klein stands behind his product, claiming that Reco "results in the lowest false positive rate while discovering events and incidents that no other tool can detect."

"The pandemic pushed companies to broadly use collaboration tools to support their distributed workforces. Companies started using tools like Slack, Teams, and Google Drive with their customers and vendors to accelerate business processes," Klein said. "But there is no visibility and limited control over these channels … Reco is positioned well to lead the next generation of security solutions that focuses on enabling business while dramatically saving money and effort."

Klein declined to list 35-employee Reco's customers by name or reveal revenue figures, but said that "multiple" companies in finance, manufacturing, tech and insurance, including Fortune 500 companies, are using its product.

Topics: AI AI Cloud Computing compliance data developers Enterprise Enterprise Funding governance Insight Partners Media & Entertainment Privacy Reco Security security Startups Startups

Kyle Wiggers
AI Editor

Kyle Wiggers was TechCrunch's AI Editor until June 2025. His writing has appeared in VentureBeat and Digital...

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